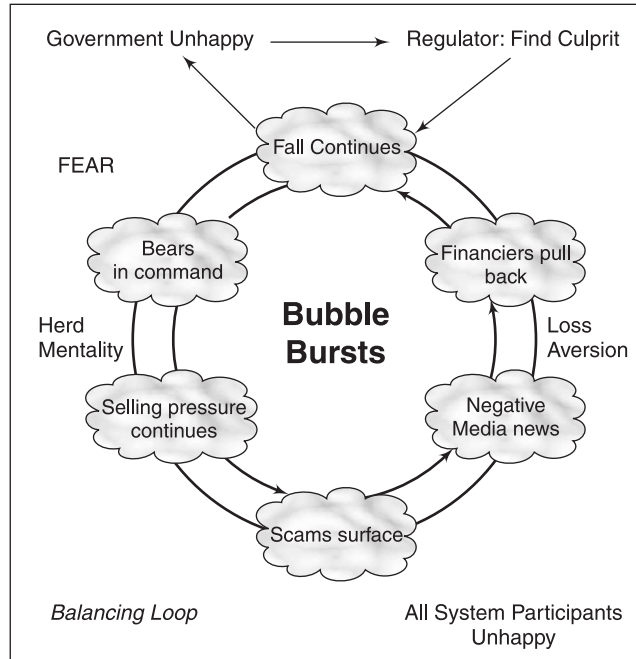




FIGURE 10.5



➤ The Bubble Bursts

have turned sellers. The balancing loop is correcting the excesses of the reinforcing loop.

Everyone realises that it was a bubble and that it has burst. Investors pay heavily for their greed, and fortunes are lost. The sentiment turns hostile. The government orders the regulator to conduct an inquiry and find the culprit. But that's not easy. This operator knows how the system works and doesn't leave a trail. He understands the psychology of the various participants. This understanding benefits him, as he knows how to use each participant to his advantage. In such a complex stock market system you really don't have trails to fall back on. The regulator needs to know how the stock market system works, rather than go through the task of catching the culprits.